

Organizational Systems — Module 05: Action —

Discussion Questions

20 unique questions on strategic execution, policy selection, and exploitation-exploration.

1. Explain the distinction between "active inference" (changing the world) and "perceptual inference" (changing beliefs). Provide two organizational examples of each.
2. Why does Active Inference frame organization action as "making the world match predictions" rather than "responding to events"? What practical difference does this framing create?
3. Amazon's development of AWS illustrates the transition from epistemic action (exploration) to pragmatic action (exploitation). Identify another company that made this transition successfully, and one that failed to — explain why.
4. Expected free energy combines pragmatic value and epistemic value. When should an organization prioritize epistemic value (learning) over pragmatic value (goal achievement)?
5. Most execution failures are attributed to "poor execution." Reframe three common execution failures as inference failures — what specific model or sensing errors were at play?
6. How does the exploitation-exploration trade-off manifest differently in a technology company versus a regulated utility? What determines the optimal balance?
7. Why is "pure exploitation" (only doing what has worked before) risky in rapidly changing environments? Frame your answer using the Active Inference concept of model fragility.

8. How does an organization's time horizon affect its policy selection? Compare the action patterns of a venture-funded startup (18-month runway) versus an endowed university (infinite time horizon).
9. What role does organizational hierarchy play in policy selection? Do frontline employees select policies differently from executives? Should they?
10. When does "strategic patience" (continuing a strategy despite poor short-term results) reflect good inference versus the sunk cost trap?
11. Classify your organization's current strategic initiatives into pragmatic (exploitation) and epistemic (exploration). Is the portfolio balanced? What would you change?
12. Describe a recent strategic action your organization took. Was it primarily pragmatic or epistemic? What was the expected free energy calculation (even if it was done intuitively)?
13. Your organization has identified three possible strategies for entering a new market. Evaluate each using the pragmatic value + epistemic value framework from the module. Which would you select, and why?
14. Your competitor just made a bold strategic move. Your organization is debating whether to respond immediately or wait for more information. Frame this choice as a trade-off between pragmatic and epistemic action.
15. Design an "epistemic portfolio" for your organization — a set of small experiments specifically designed to reduce strategic uncertainty. Budget: \$500K and 6 months.
16. Your organization has a culture of "analysis paralysis" — extensive planning with little action. Using the Active Inference framework, diagnose the cause and propose structural changes that would shift the balance toward action.
17. Remote work created a natural experiment — organizations were forced to act under extreme uncertainty. Describe how your organization's action patterns changed during the COVID-19 transition. What was learned?

18. How does the concept of "active inference" change how you think about marketing? Is a marketing campaign primarily a pragmatic action (influencing customers) or an epistemic action (learning about customer responses)?
19. Organizations often separate "strategy" (deciding what to do) from "execution" (doing it). Using the Active Inference framework, explain why this separation can be harmful and what would replace it.
20. In your experience, what is the most common reason organizations fail to act despite having clear strategic direction? Is it uncertainty, coordination failure, cultural resistance, or something else?